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Subject: Double Feature: The Spy Who Loved Me & To China With Love
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Double Feature: The Spy Who Loved Me & To China With Love

YARDENI QUICKTAKES

Double Feature: The Spy Who Loved Me & To China With Love

By Ed Yardeni & Elias Griepentrog • 12 Nov 2026
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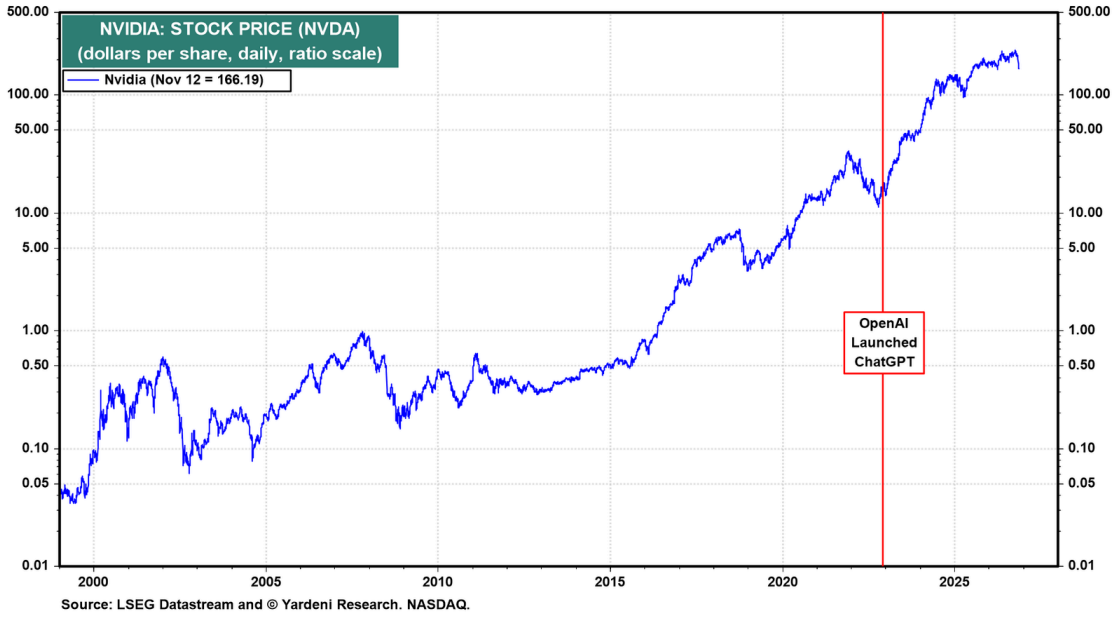
I. Jensen Versus The AI Trade

Charlie Munger famously warned that there are three ways smart men can go broke: "Liquor, ladies, and leverage." NVIDIA co-founder and now former CEO Jensen Huang has run into trouble with the second of Munger's three L's. He won't go broke, but he is out of a good job.

On Thursday, NVIDIA announced that Huang had resigned as CEO after 33 years at the helm of the company he co-founded in 1993. His

departure followed revelations of extramarital affairs, including a reported relationship with a Chinese businesswoman suspected by US intelligence officials of spying for Beijing. Her Singapore-based company, Megaspeed, allegedly purchased NVIDIA's high-powered GPU chips and re-exported them to China, violating US export restrictions. The longtime CFO Colette Kress was appointed interim CEO while the board searches for a successor.

Huang's departure rattled the AI trade, with NVIDIA shares plunging 4.3%, sending its forward P/E to 11.7 (charts). We promised you buying opportunities after the midterm elections. There were a bunch last Thursday and a few more today.

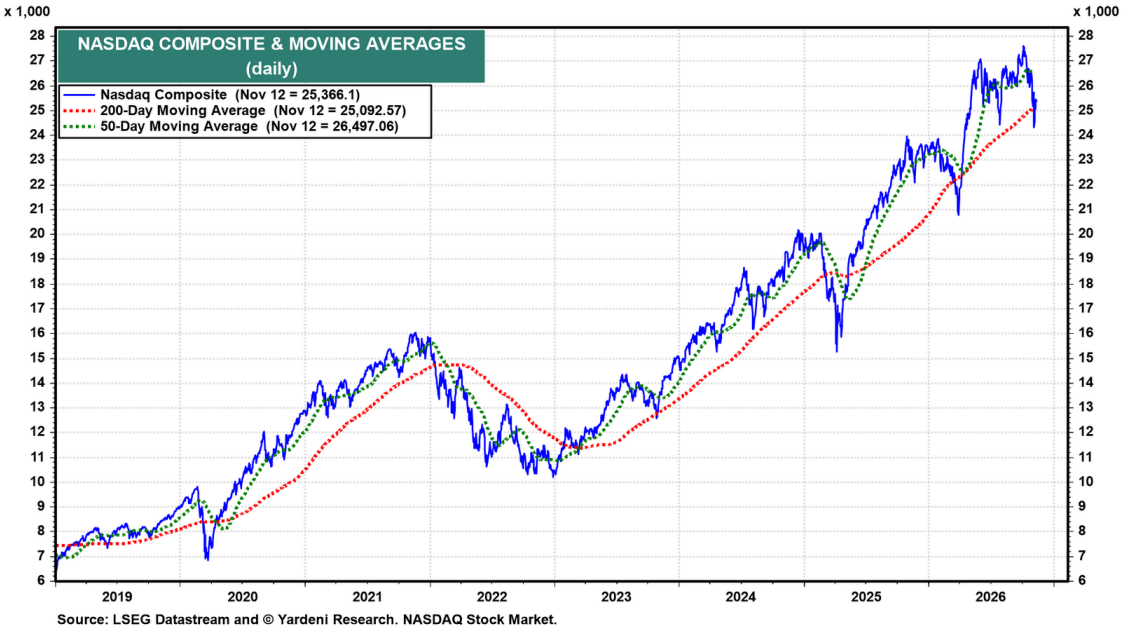




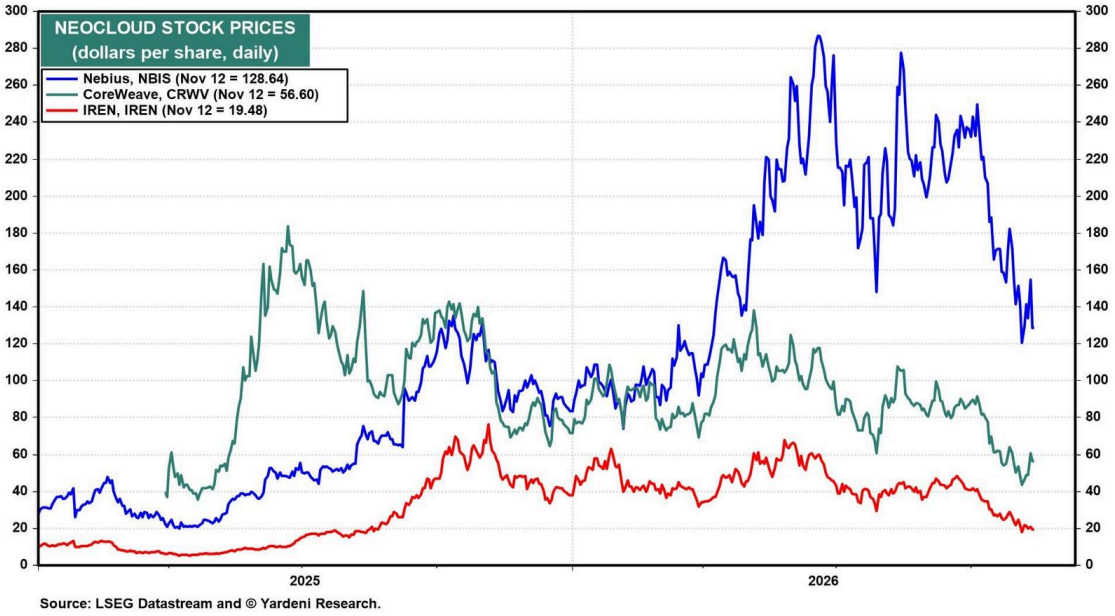
Competitors AMD and Broadcom advanced 5.9% and 5.5%, respectively, on expectations of market-share gains (chart)



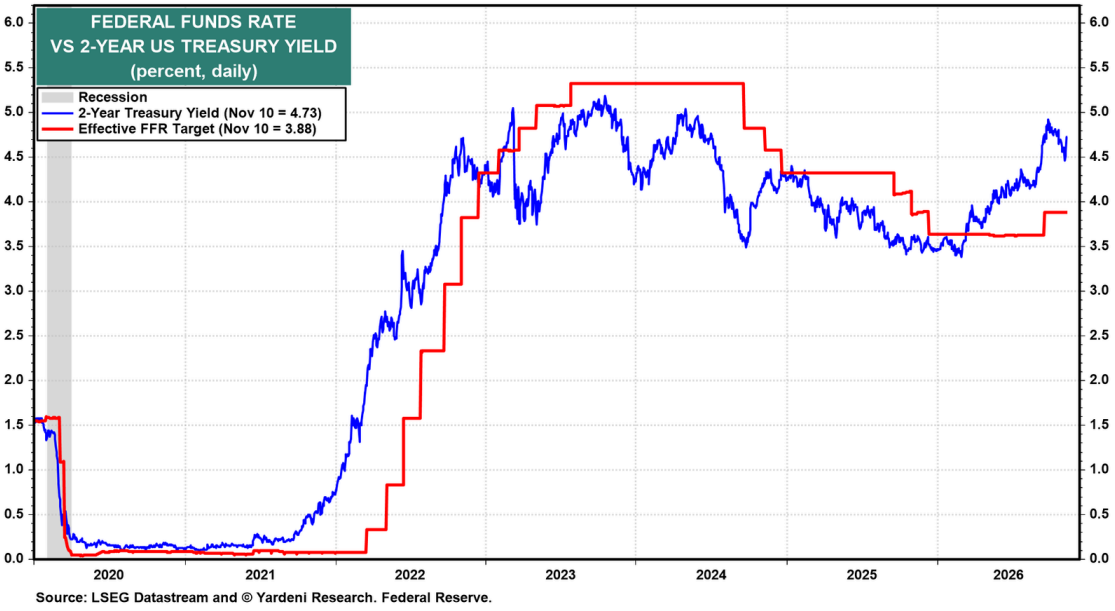
As a result, the Nasdaq Composite held up relatively well, falling just 0.4% today (chart).



Neoclouds also tumbled, with CoreWeave down 6.7% and Nebius down 16.8%, amid concerns about NVIDIA-backed financing (chart). Nebius was additionally pressured by disappointing revenue guidance and rising capital spending.



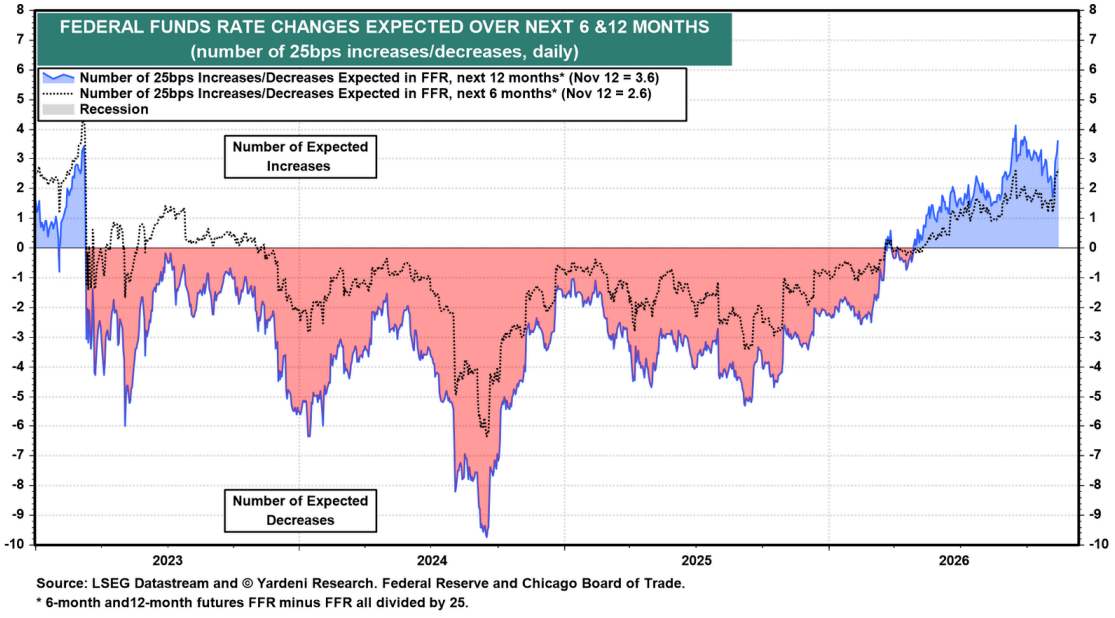
Despite the latest AI jitters, the two-year Treasury yield rose 15bps to 4.87% this evening, remaining well above the federal funds rate and signaling that further Fed tightening is warranted (chart). The 10-year Treasury yield is back above 5.00% at 5.13% this evening.



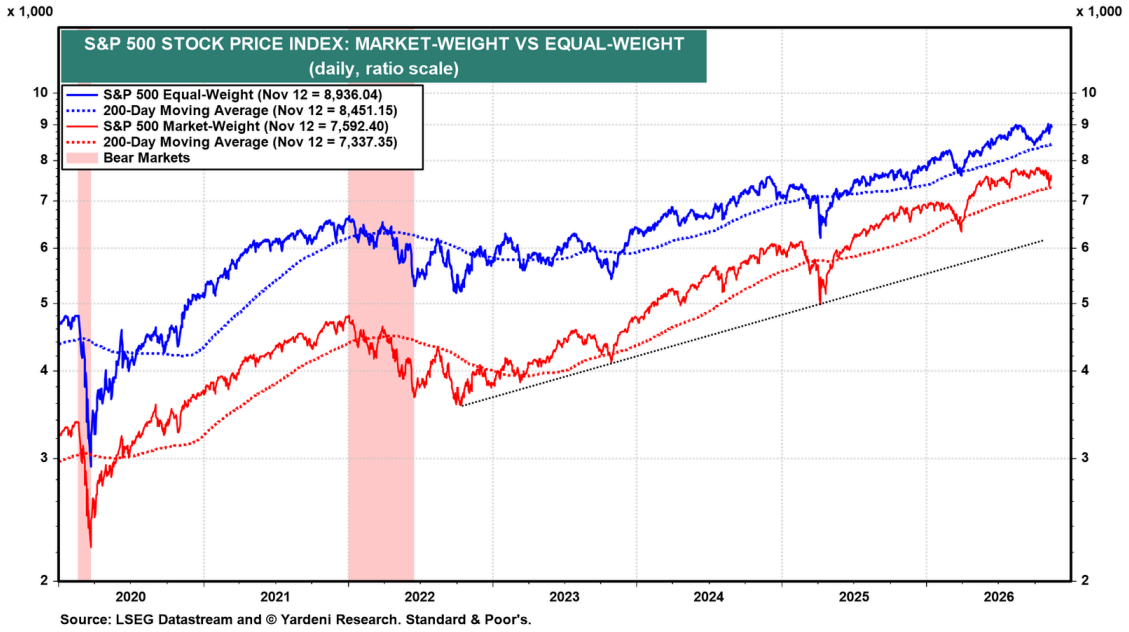
Yields rose on higher oil prices, with Brent crude up 3.1% to $95.66 this evening, after President Donald Trump dismissed the need for an Iran deal, and on hawkish Fed commentary following October's hot CPI report (chart).

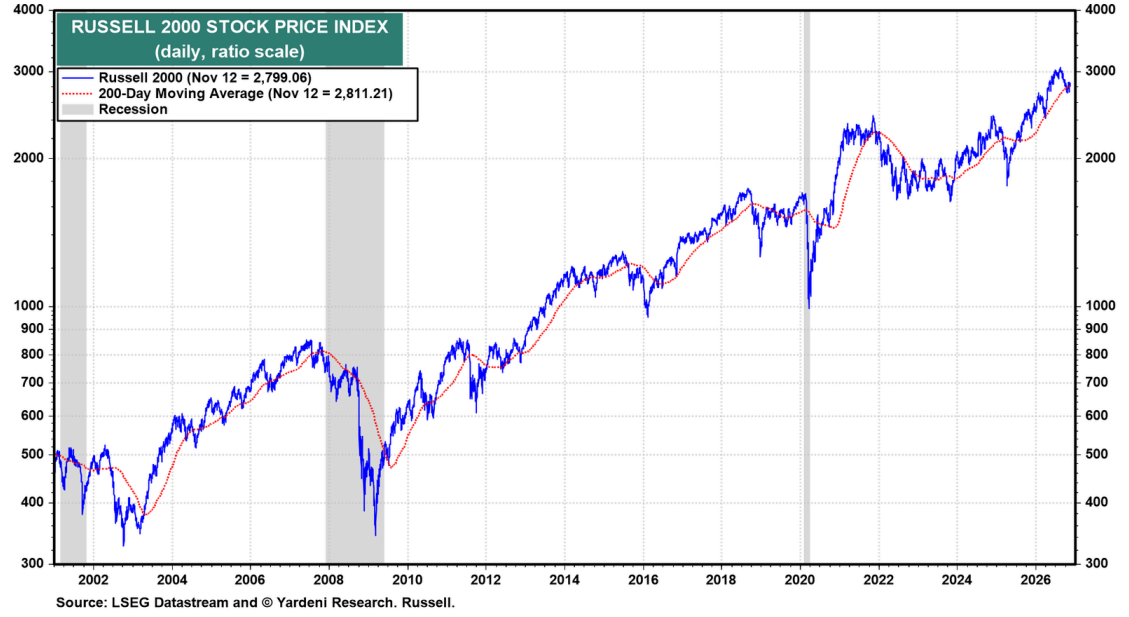


Markets now price a 100% probability of a December Fed rate hike: 84.7% for 25bps and 15.3% for 50bps. Futures imply more than 3 rate hikes over the next 12 months (chart).



The combination of higher Treasury yields, driven by rising oil prices and hawkish Fed commentary, and renewed AI jitters weighed on the broader stock market. The S&P 500 fell 0.4%, its equal-weighted counterpart declined 0.9%, and the Russell 2000 lost 1.7% (charts).





II. Nvidia: The Bear Case

We can assess the risks Jensen Huang's departure poses to the broader AI trade with our familiar framework of three constraints on the AI investment boom.

(1) Financial constraints. NVIDIA has been described by many as the central bank of the AI trade, conducting its own version of quantitative easing by helping finance the expansion of AI computing capacity. The company spent $42.2 billion purchasing equity securities during the first half of its current fiscal year, compared with just $1.2 billion a year earlier. The fear is that Huang's departure could slow or even end these financing activities, tightening financial conditions for an industry already facing questions about the returns on its enormous capital expenditures.

(2) Political constraints. Huang has also been the AI trade's biggest cheerleader, tirelessly promoting its economic benefits and defending key players. During October's AI jitters, for example, he publicly defended CoreWeave's financial health amid a selloff in its shares and bonds, helping restore confidence. His departure could deprive the industry of its most influential advocate and cheerleader.

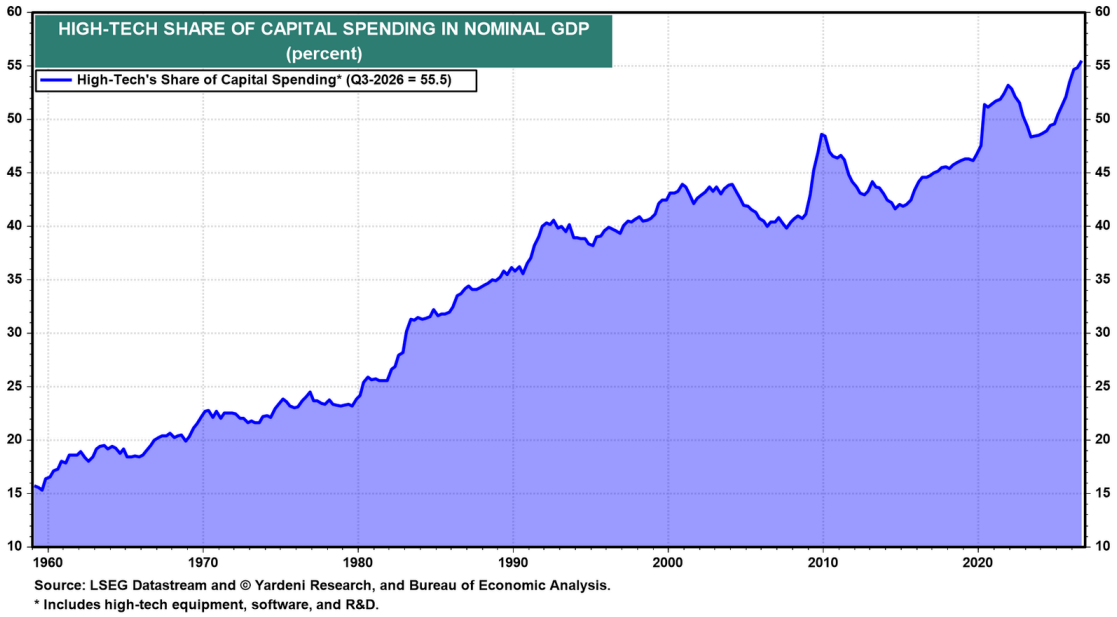
Additionally, NVIDIA reportedly intervened in the Commerce Department's investigation into Megaspeed, while Commerce Secretary Howard Lutnick reportedly resisted efforts to blacklist the company, which remains off the Entity List. Reports also suggest the Trump administration knew about Huang's relationship with a suspected Chinese spy. These allegations could invite tougher congressional oversight and undermine Trump's national security argument for building more data centers in the US, making the AI buildout harder to sell to the public.

(3) Physical constraints. Washington could respond by tightening chip export controls and closing loopholes that allow Chinese companies to access NVIDIA-powered computing capacity remotely. If so, China might retaliate by restricting exports of rare earth minerals, some of which are crucial for building data centers. China has already warned Washington against using the controversy as a pretext for imposing tougher technology restrictions.

III. Nvidia: Our Base Case

Our base case is that NVIDIA's financing strategy remains intact. Colette Kress, NVIDIA's longtime CFO and newly appointed interim CEO, has worked closely with Huang since 2013 and helped oversee the company's strategic investments and financing arrangements. During NVIDIA's August 26 earnings call, she defended these investments against accusations of circular financing, stating, "We recognize the scale of this support, and we know some will call it circular financing. We see it differently." She argued that these investments would generate attractive returns while strengthening NVIDIA's AI ecosystem, suggesting continuity under her leadership. We don't expect political constraints to meaningfully increase as a result of the controversy. Nor do we expect another trade conflict with China to erupt.

Even if some of the constraints intensify, they would likely turn existing speed bumps into bigger speed bumps rather than roadblocks to the AI investment boom. AI remains the latest evolution in the Digital Revolution that began with IBM's mainframes, and we expect the investment boom to continue without Huang (chart). We therefore view any resulting selloff as another buying opportunity for the AI trade.



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